

CASE STUDY

Title: Mohori Bibee Vs. Dharmodas (1903)

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TABLE OF CONTENT

S.NO	PARTICULARS
01	INTRODUCTION
02	FACTS OF THE CASE
03	LEGAL ISSUES
04	JUDGEMENT
05	LEGAL PRINCIPLE
06	BUSINESS RELEVANCE
07	CONCLUSION

INTRODUCTION

- **Case Title:** Mohori Bibee v. Dharmodas Ghose
- **Court:** Privy Council (Appeal from Calcutta High Court, India)
- **Judges:** Lord Macnaghten, Lord Lindley, Lord Davey, Lord Robertson, and Sir Ford North
- **Type of Case:** Civil Appeal – Contract Law
- **Parties:**
 - **Appellant:** Mohori Bibee (representing Brahmo Dutt, the moneylender)
 - **Respondent:** Dharmodas Ghose (minor at the time of contract)

This case is a **landmark in Indian Contract Law**. It clarified the legal position of agreements entered into by minors under the Indian Contract Act, 1872.

FACTS OF THE CASE

- Dharmodas Ghose, a minor, mortgaged his property to Brahmo Dutt, a moneylender, for a loan of ₹20,000.
- At the time of the transaction, Brahmo Dutt's attorney knew that Dharmodas was a minor.
- Dharmodas later sued, claiming the mortgage was void because he was underage.
- The Calcutta High Court ruled in his favor, declaring the contract void.
- Mohori Bibee, acting for Brahmo Dutt, appealed to the Privy Council.

LEGAL ISSUES

1. Whether a contract entered into by a minor is valid under the Indian Contract Act, 1872.
2. Whether the mortgage deed executed by Dharmodas Ghose was enforceable.
3. Whether the lender could claim restitution (return of money advanced).

JUDGEMENT

- The Privy Council held that **a minor's agreement is absolutely void ab initio** (void from the beginning).
- Section 11 of the Indian Contract Act states that a person must be of majority age to enter into a valid contract.
- Since Dharmodas was a minor, the mortgage deed was unenforceable.
- The court also rejected the claim for restitution, noting that the lender had acted with knowledge of the minor's age.

LEGAL PRINCIPLE

- **Minor's Agreement:** Any contract with a minor is void ab initio under Section 11 of the Indian Contract Act, 1872.
- **Competency to Contract:** A person must be of majority age, of sound mind, and not disqualified by law.
- **Restitution:** If the other party knowingly contracts with a minor, they cannot seek restitution.

BUSINESS RELEVANCE

- This case is crucial for businesses and financial institutions:
 - Contracts with minors are unenforceable.
 - Companies must verify legal capacity before entering agreements.
 - Protects minors from exploitation in commercial transactions.
- It also highlights the importance of **due diligence** in lending and contractual dealings.

CONCLUSION

Mohori Bibee v. Dharmodas Ghose is a **foundational case in Indian Contract Law**. It established that minors cannot be bound by contractual obligations, ensuring protection for vulnerable individuals. The ruling reinforced that **competency is a prerequisite for valid contracts**, shaping the way businesses and individuals approach agreements in India.